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TENTATIVE RULING

September 16, 2026

23SMCV05107 (Farokhpay v. Wilshire

Regents Homeowner's Association, et. al.)

RELEVANT BACKGROUND

Plaintiff Mitra Afsaneh

Farokhpay (Plaintiff), individually and in her capacity as Trustee for The Mitra Afsaneh Farokhpay and Ali Sadeghi Living Trust (Trust) (together, Plaintiffs) bring this action against Defendants Wilshire Regent Homeowners' Association, Inc. (Association), and board members Dianna Ascher (Ascher) and Lisa Samore (Samore) (collectively, Defendants) arising from allegedly recurrent water intrusion and mold conditions affecting Plaintiffs' condominium units 2312 and 2305 at the Wilshire Regent, Los Angeles, California. Plaintiffs filed the Complaint on October 30, 2023, alleging (1) negligence; (2) premises liability; (3) trespass; (4) nuisance; and (5) breach of fiduciary duties.

Mitra Farokhpay and her

husband own two penthouse units on the twenty-third floor of the Wilshire Regent: Unit 2312, purchased in 2011, and Unit 2305, purchased in 2020. (UMF 3, 5; AMF 1, 2, 3.)

On November 2, 2020,

Plaintiff's son reported water coming through the ceiling of Unit 2312 at 8:00 a.m. Despite that's having been reported to the building properly, no one came

that day to examine the problem; staff had logged the report as a non-emergency. (AMF 27, 28.) The Association's building engineer, Jose Salazar (Salazar), arrived the next morning, opened the ceiling, and found the source himself: a cracked common-area drain pipe. (AMF 29, 30.) L.K. Plumbing, a licensed plumbing contractor, was called for the limited purpose of replacing the pipe. (AMF 37, 38.) Salazar's in-house and unlicensed crew, not L.K. Plumbing, then dried the unit and closed the wet ceiling; this was done with no moisture or mold testing, as well as no permits. (AMF 31, 32, 33, 39.) Salazar holds no plumbing, HVAC, or roofing license and is uncertified in water remediation. (AMF 25, 26.) When a second leak emerged in late December 2020, the Association had Salazar perform the pipe repair; again, the Building's unlicensed crew closed the ceiling without any testing. (AMF 42, 43, 44, 45, 46, 47, 49.)

Above Plaintiff's units

sits an empty space called the plenum, which is part of the Building's common area, and above the plenum sits the commonly owned roof of the Building. (AMF 17, 18, 103.) The Association has long known that its roof was in a state of disrepair. Salazar admitted that at some point before the relevant claim, he placed buckets and plastic sheeting in the ceiling plenum above Unit 2305 "to protect it from the leakage from the roof." (AMF 107, 112.) At the Association's person most qualified deposition, the PMQ was clear that the roof was in bad shape and in need of major work. (AMF 178, 179, 182, 185.) When asked for the Association's rationale for refraining from replacing components that had outlived their useful life, the PMQ answered: "The cost." (AMF 192.)

On January 27, 2021, a contractor evaluating Plaintiff's newly purchased Unit 2305 opened the ceiling and found the buckets and plastic sheeting, which were still positioned to catch roof water in the plenum and conceal resulting damage. (AMF 106, 107.) The Association was notified of these items, and the next day they were removed. (AMF 108, 109, 111.) When Plaintiff's husband warned the Association via email that pulling the sheeting through the unit without taking any precautions or conducting any testing could spread mold, the General Manager forwarded the email to Salazar with a comment: "Another excuse. What would they say if the plastic had remained up in the plenum? It's always something." (Pltf COE, Ex. 92 - 200:15-202:13.)

Mold testing and an

inspection was conducted on February 2, 2021. (AMF 113.) The inspection report identified roof leaks above the unit and noted "mold-like growth." (AMF 110,

113.) The results of this inspection and test would later show widespread mold in the plenum and throughout the Unit (such as on the floor). (AMF 73, 125.) On February 11, 2021, Mayer sent an email to Plaintiff's husband stating: "As we agreed, please move forward with the hygienist inspection, and we will do what is necessary to remediate the found materials and conditions and restore the unit to before ... condition." (AMF 67, 68, 114, 115.) The very same day, Board President Samore wrote Mayer asking why "the building is paying for Ali and Mitra's water damage." (AMF 69, 116.) Mayer responded to Samore, stating unequivocally that the leaks in 2312 "are from either the roof or the floor drainpipes...and are the HOA's responsibility" and that in "2305's case...we'll have to see what the hygienist and inspector says." (AMF 70, 117.) Neither Samore nor the Association produced this liability-acknowledging email in discovery. (Williams Decl., ¶ 13.) Plaintiff obtained this through a subpoena to the former Association GM, Mayer.

INSTANT MOTIONS

On December 2, 2025, Defendants filed the instant motion for summary adjudication of the punitive damages claim and the fifth cause of action for breach of fiduciary duties.

On July 23, 2026, Defendants each filed a motion for leave to amend answer to complaint.

EVIDENTIARY

OBJECTIONS

Plaintiffs' objection to Exhibit 3 to the Christovich Declaration, twenty-one pages of Board meeting minutes, is granted. It is unauthenticated hearsay offered through counsel who is neither its author nor its custodian. The record defeats the trustworthiness that the business records exception requires: Samore, the Board's Secretary and later its President, testified that responsibility for the minutes was delegated to the general manager, and the Association's current general manager testified that the verbatim transcripts from which minutes were prepared "get deleted." (Pltf COE, Ex. 99 - 93:12-19, 95:15-24, 96:6-11.)

DISCUSSION

I.

MOTION

FOR SUMMARY ADJUDICATION

“The elements of a cause of action

for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.)

Punitive damages are appropriate

when a defendant acted with malice, oppression, or fraud. (Civ. Code, § 3294, subd. (a).) “Malice” is defined as conduct intended to cause injury to a person or despicable conduct carried on with a willful and conscious disregard for the rights or safety of others. (Turman v. Turning Point of Cent. Cal., Inc. (2010) 191 Cal.App.4th 53, 63.) “Oppression” means despicable conduct subjecting a person to cruel and unjust hardship, in conscious disregard of the person’s rights. (Ibid.) “Fraud” is an intentional misrepresentation, deceit, or concealment of a material fact known by defendant, with intent to deprive a person of property, rights or otherwise cause injury. (Ibid.) Conscious disregard is shown where the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences. (Civ. Code, § 3294, subd. (c)(1).)

Here, Defendants argue that they are

entitled to summary adjudication on the fifth cause of action for breach of fiduciary duties because Plaintiffs cannot establish any breach of fiduciary duties and the evidence offered by Plaintiffs confirms there are no triable issues of material fact. Separately, Defendants argue that Plaintiffs’ punitive damages claim fails because they offer no clear and convincing evidence of oppression, fraud, or malice. The Court disagrees.

The Court finds that Defendants have

not met their burden as the moving party to show that one or more elements of the cause of action cannot be established. UMFs 1 through 14 simply recount basic details and underlying facts in this matter. UMFs 15 through 17 establish the board service and volunteer status of certain parties to this Action, nothing more. UMFs 18 through 25 narrate foundational events relevant to this matter in neutral terms and, at most, show that the Association eventually responded. UMFs 26 and 27 are nothing more than statements by Samore and Ascher that they acted in good faith toward Plaintiff. UMFs 28 through 33 paraphrase minutes of Board meetings that have not been properly authenticated by

Defendants and are thus inadmissible.

Defendants have not established a defense under the business judgment rule. Board decisions made "upon reasonable investigation, in good faith and with regard for the best interests of the community association and its members" are given judicial deference and protected from liability under certain circumstances. (*Lamden v. La Jolla Shores Clubdominium Homeowners Assn.* (1999) 21 Cal.4th 249, 253, 270-271.) But merely pleading the business judgment rule with no further proof is not sufficient, as Defendants have the burden of establishing the elements of the affirmative defense. (*Affan v. Portofino Cove Homeowners Assn.* (2010) 189 Cal.App.4th 930 [business judgment defense not established where "no one testified about the board's decision-making process" and association presented no evidence that the board weighed costs and benefits or considered alternatives].) Additionally, "courts are required to defer to the discretionary decision making of a homeowners' board only if the board acted in good faith." (*Ridley v. Rancho Palma Grande Homeowners Assn.* (2025) 114 Cal.App.5th 788, 808.) Here, Defendants have not presented adequate evidence to meet its burden with respect to the decision-making process.

Given the above, the burden does not shift to Plaintiffs to raise a triable issue of material fact. But, even if Defendants had met their burden, Plaintiffs have raised triable issues of material fact as to whether Defendants breached their fiduciary duties. (See AMF 1-51, 107, 108, 109, 112, 186, 189, 190, 191, 192.) For example, Plaintiffs have presented evidence that: Defendants failed to replace the EPDM roof membrane despite knowing that it was many years past its useful life and used unlicensed in-house people to do work that requires construction licenses (*Id.*; *Shantz Decl.*, ¶¶ 11, 13, 14-16, 19-21); the Association's engineer had placed buckets and plastic sheeting in the common-area plenum directly above Unit 2305 to catch water leaking from that roof (AMF 107, 112); the buckets and sheeting were removed and discarded the day after Plaintiff's contractor documented them (*Id.* 108, 109, 111); successive common-area drain failures occurred above Unit 2312, followed by a decision to leave the remaining lines in the stack uninspected (Pltf COE, Ex. 94 - 150:20-151:20); and the Association's own April 2021 flood test drove water through the ceiling of Unit 2305 (AMF 132, 133).

Defendants have not met their burden with respect to punitive damages. The complaint pleads concealment, refusal to repair, harassment and other actions by managing agents of the Association.

Defendants' motion and separate statement do not address these actions.

Additionally, Plaintiffs have presented evidence to support the punitive-damages claim that Defendants have failed to adequately address, including conscious disregard of danger to the safety and rights of others and concealment. (See AMF 77, 90, 108, 109, 69, 70, 107, 112, 116, 117, 132, 133, 186, 189, 190, 191, 192.)

Accordingly, Defendants' motion for summary adjudication is DENIED with respect to the breach of fiduciary duty claim and punitive damages.

II. LEAVE TO AMEND

"A court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading." (Code Civ. Proc., § 473, subd. (a)(1).) The court's discretion will usually be exercised liberally to permit amendments of the pleadings. (*Nestle v. City of Santa Monica* (1972) 6 Cal.3d 920, 939.) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530.) Courts may grant a motion to amend as late as the time of trial and even postpone the trial if necessary to the furtherance of justice. (*Honig v. Financial Corp. of America* (1992) 6 Cal. App. 4th 960, 965.)

Under Rule 3.1324, subdivision (a) of the California Rules of Court, a motion to amend a pleading shall (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located. (Cal. Rules of Court, rule 3.1324, subd. (a).)

Under Rule 3.1324, subdivision (b) of the California Rules of Court, a separate

declaration must accompany the motion and must specify (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rules of Court, rule 3.1324, subd. (b).)

Here, each of the Defendants move for leave to amend their answers to add affirmative defenses based upon personal-liability limitations under the Association's CC&Rs, sections 8.7 and 8.8. The Court finds that leave to amend is appropriate in the furtherance of justice and that there is no evidence of prejudice. Defendants have complied with California Rules of Court, Rule 3.1324, which requires a copy of the proposed Amended Answer to be attached to this motion. Additionally, Defendants have provided a declaration specifying the nature of the amendment and why the amendment is necessary. (See Harrington Decl.)

Plaintiffs fail to show any prejudice will result from granting leave to amend. Plaintiffs' reliance on *Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471 is misplaced. In that case, the proposed amendment was sought on the eve of trial after the matter was fully prepared for adjudication, the jury was about to be empaneled, and the amendment would have dramatically expanded the scope of the litigation into entirely new areas requiring additional discovery, witnesses and a continuance of trial. (*Magpali*, supra, 48 Cal.App.4th at p. 486-488.) No similar circumstances are present here. Rather, the proposed amendment identifies provisions within the same CC&Rs already asserted as an affirmative defense, and trial is set for January 5, 2027.

With respect to Plaintiff's argument that Defendants delayed in bringing the instant motion, the Court finds that the delay was excusable because depositions were not commenced until earlier this year and Defendants' counsel was not associated in on behalf of Defendants until April 23, 2026. Additionally, Plaintiffs have not shown that any such delay has caused any prejudice to Plaintiffs.

But the Court agrees with Plaintiffs that it is appropriate to permit additional discovery limited to the new defenses.

Accordingly, the motions for leave

to amend are GRANTED.

Plaintiffs' request to take limited additional discovery limited to the new defenses is GRANTED. Plaintiffs' remaining requests are DENIED.

Plaintiffs' counsel to give notice.